easier to risk *borrowed* money, because it seems almost free—at least until you have to pay it back. The same principle applies to buying consumer goods on credit. Credit card companies understand the mentality of leveraged purchases (purchases bought with borrowed money). People who use their credit cards for clothing, food, and vacations are prime candidates for overbuying. Credit card issuers can prove to a merchant, statistically, that those people will buy more and pay a higher price than those who buy only with cash.

There is no argument that through the use of leveraged (borrowed) money you can get rich a lot faster. But there also is no argument that the majority of those who do that end up losing it all in the long run. The mentality that prompted them to take the initial risk will prompt them to take ever bigger risks, and eventually they could get wiped out in a bad economy. The Bible says, "The plans of the diligent lead to profit as surely as haste leads to poverty" (Proverbs 21:5).

You don't have to look any further than the housing industry in America to verify that principle. Thousands of homeowners were wiped out when the housing bubble popped between 2007 and 2009. They had overborrowed to buy houses in an inflated market. When the bottom fell out, they ended up owing more than their houses were worth. Many lost everything.

How did this happen? Briefly, in the early 2000s, the housing market was flourishing. Individuals would get their mortgage loan from a broker, who would sell the mortgage to a bank. The bank would then sell the mortgage to a Wall Street investment firm. A firm would then have thousands of payments from mortgages coming in monthly, which they could use for investment.

As demands for mortgage-backed securities grew, lenders began to lower qualifications for individuals obtaining mortgages. No longer must a buyer have a down payment, so more and more people were purchasing houses as investments, intending to turn them around for a profit. This practice created more demand for housing, thus pushing up prices. If people were unable to make their mortgage payments, they could simply take out another loan against